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**REGULATION (EU) 2021/694 OF THE EUROPEAN
PARLIAMENT AND OF THE COUNCIL**

of 29 April 2021

**establishing the Digital Europe Programme and repealing Decision
(EU) 2015/2240**

(Text with EEA relevance)

CHAPTER I

GENERAL PROVISIONS

Article 1

Subject matter

This Regulation establishes the Digital Europe Programme (the ‘Programme’) for the duration of the MFF 2021-2027.

This Regulation lays down the objectives of the Programme, its budget for the period 2021 to 2027, the forms of Union funding and the rules for providing such funding.

Article 2

Definitions

For the purposes of this Regulation, the following definitions apply:

- (1) ‘blending operation’ means an action supported by the Union budget, including within a blending facility or platform as defined in point (6) of Article 2 of the Financial Regulation, that combines non-repayable forms of support or financial instruments from the Union budget with repayable forms of support from development or other public finance institutions, as well as from commercial finance institutions and investors;
- (2) ‘legal entity’ means a natural person, or a legal person created and recognised as such under Union, national, or international law, which has legal personality and the capacity to act in its own name, exercise rights and be subject to obligations, or an entity which does not have legal personality as referred to in point (c) of Article 197(2) of the Financial Regulation;
- (3) ‘associated country’ means a third country which is party to an agreement with the Union allowing for its participation in the Programme pursuant to Article 10;
- (4) ‘international organisation of European interest’ means an international organisation, the majority of whose members are Member States or whose headquarters are in a Member State;
- (5) ‘European Digital Innovation Hub’ means a legal entity selected in accordance with Article 16 in order to fulfil the tasks under the Programme, in particular by directly providing, or ensuring access to, technological expertise and experimentation facilities, such as equipment and software tools to enable the digital transformation of industry, as well as by facilitating access to finance and it is open to businesses of all forms and sizes, in particular to SMEs, mid-caps and scale-up companies, and to public administrations across the Union;

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- (6) ‘advanced digital skills’ means the skills and professional competencies requiring the knowledge and experience necessary to understand, design, develop, manage, test, deploy, use and maintain the technologies, products and services supported by the Programme as referred to in Article 7;
- (7) ‘European Partnership’ means a European Partnership as defined in point (3) of Article 2 of Regulation (EU) 2021/695;
- (8) ‘small or medium-sized enterprise’ or ‘SME’ means a micro, small or medium-sized enterprise as defined in Article 2 of the Annex to Commission Recommendation 2003/361/EC ⁽¹⁾;
- (9) ‘cybersecurity’ means the activities necessary to protect network and information systems, the users of such systems, and other persons affected by cyber threats;
- (10) ‘digital service infrastructures’ means infrastructures which enable networked services to be delivered electronically, typically over the internet;
- (11) ‘Seal of Excellence’ means a quality label which shows that a proposal submitted to a call for proposals under the Programme has passed all of the evaluation thresholds set out in the work programme, but could not be funded due to a lack of budget available for that call for proposals in the work programme, and might receive support from other Union or national sources of funding;
- (12) ‘exascale’ means, in the context of computing systems, being capable of executing 10^{18} (ten to the power of 18) floating operations per second.

*Article 3***Programme objectives**

1. The general objectives of the Programme shall be to support and accelerate the digital transformation of the European economy, industry and society, to bring its benefits to citizens, public administrations and businesses across the Union, and to improve the competitiveness of Europe in the global digital economy while contributing to bridging the digital divide across the Union and reinforcing the Union’s strategic autonomy, through holistic, cross-sectoral and cross-border support and a stronger Union contribution.

The Programme shall be implemented in close coordination with other Union programmes as applicable, and shall aim:

- (a) to strengthen and promote Europe’s capacities in key digital technology areas through large-scale deployment;
- (b) in the private sector and in areas of public interest, to widen the diffusion and uptake of Europe’s key digital technologies, promoting the digital transformation and access to digital technologies.

⁽¹⁾ Commission Recommendation 2003/361/EC of 6 May 2003 concerning the definition of micro, small and medium-sized enterprises (OJ L 124, 20.5.2003, p. 36).

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2. The Programme shall have six interrelated specific objectives:

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- (a) Specific Objective 1 – High Performance Computing
- (b) Specific Objective 2 – Artificial Intelligence
- (c) Specific Objective 3 – Cybersecurity and Trust
- (d) Specific Objective 4 – Advanced Digital Skills
- (e) Specific Objective 5 Deployment and Best Use of Digital Capacity and Interoperability

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- (f) Specific Objective 6 – Semiconductors.

▼B*Article 4***Specific Objective 1- High Performance Computing**

1. The financial contribution from the Union under Specific Objective 1 – High Performance Computing shall pursue the following operational objectives:

- (a) deploy, coordinate at Union level and operate an integrated demand-oriented and application-driven world-class exascale supercomputing and data infrastructure that shall be easily accessible to public and private users, in particular SMEs, irrespective of the Member State in which they are located, and easily accessible for research purposes, in accordance with Regulation (EU) 2018/1488;
- (b) deploy ready to use operational technology resulting from research and innovation in order to build an integrated Union HPC ecosystem, covering various aspects in the scientific and industrial value chain segments, including hardware, software, applications, services, interconnections and digital skills, with a high level of security and data protection;
- (c) deploy and operate post-exascale infrastructure, including integration with quantum computing technologies and research infrastructures for computing science and encourage the development within the Union of the hardware and software necessary for such deployment.

2. The actions under Specific Objective 1 shall be primarily implemented through the European High Performance Computing Joint Undertaking established by Regulation (EU) 2018/1488.

*Article 5***Specific Objective 2 – Artificial Intelligence**

1. The financial contribution from the Union under Specific Objective 2 – Artificial Intelligence shall pursue the following operational objectives:

- (a) build up and strengthen core AI capacities and knowledge in the Union, including building up and strengthening quality data resources and corresponding exchange mechanisms, and libraries of algorithms, while guaranteeing a human-centric and inclusive approach that respects Union values;

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- (b) make the capacities referred to in point (a) accessible to businesses, especially SMEs and start-ups, as well as civil society, not-for-profit organisations, research institutions, universities and public administrations, in order to maximise their benefit to the European society and economy;
- (c) reinforce and network AI testing and experimentation facilities in Member States;
- (d) develop and reinforce commercial application and production systems in order to facilitate the integration of technologies in value chains and the development of innovative business models and to shorten the time required to pass from innovation to commercial exploitation and foster the uptake of AI-based solutions in areas of public interest and in society.

AI-based solutions and data made available shall respect the principle of privacy and security by design and shall fully comply with data protection legislation.

2. The Commission, in accordance with Union and international law, including the Charter, and taking into account, inter alia, the recommendations of the High-Level Expert Group on Artificial Intelligence, shall set out ethical requirements in the work programmes under Specific Objective 2. Calls for proposals, calls for tenders and grant agreements shall include the relevant requirements set out in those work programmes.

Where appropriate, the Commission shall carry out checks to ensure compliance with those ethical requirements. Funding for actions which do not comply with the ethical requirements may be suspended, terminated or reduced at any time in accordance with the Financial Regulation.

3. The actions under Specific Objective 2 shall be implemented primarily through direct management.

The ethical and legal requirements referred to in this Article shall apply to all actions of Specific Objective 2, regardless of the method of implementation.

Article 6

Specific Objective 3 – Cybersecurity and Trust

1. The financial contribution from the Union under Specific Objective 3 – Cybersecurity and Trust shall pursue the following operational objectives:

- (a) support the building-up and procurement of advanced cybersecurity equipment, tools and data infrastructures, together with Member States, in order to achieve a high common level of cybersecurity at European level, in full compliance with data protection legislation and fundamental rights, while ensuring the strategic autonomy of the Union;
- (b) support the building-up and best use of European knowledge, capacity and skills related to cybersecurity and the sharing and mainstreaming of best practices;

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- (c) ensure a wide deployment of effective state-of-the-art cybersecurity solutions across the European economy, paying special attention to public authorities and SMEs;
- (d) reinforce capabilities within Member States and private sector to help them comply with Directive (EU) 2016/1148 of the European Parliament and of the Council⁽²⁾ including through measures supporting the uptake of cybersecurity best practices;
- (e) improve resilience against cyberattacks, contribute towards increasing risk-awareness and knowledge of cybersecurity processes, support public and private organisations in achieving basics levels of cybersecurity, for example by deploying end-to-end encryption of data and software updates;
- (f) enhance cooperation between the civil and defence spheres with regard to dual-use projects, services, competences and applications in cybersecurity, in accordance with a Regulation establishing the European Cybersecurity Industrial, Technology and Research Competence Centre and the Network of National Coordination Centres (the ‘Cybersecurity Competence Centre Regulation’).

2. The actions under Specific Objective 3 shall be implemented primarily through the European Cybersecurity Industrial, Technology and Research Competence Centre and the Network of National Coordination Centres in accordance with the Cybersecurity Competence Centre Regulation.

Article 7

Specific Objective 4 – Advanced Digital Skills

1. The financial contribution from the Union under Specific Objective 4 – Advanced Digital Skills shall support the development of advanced digital skills in areas covered by the Programme in order to contribute to increasing Europe’s talent pool, bridge the digital divide and foster greater professionalism, especially with regard to high performance and cloud computing, big data analytics, cybersecurity, distributed ledger technologies (e.g. blockchain), quantum technologies, robotics, AI, while taking gender balance into account. In order to tackle skills mismatches and to encourage specialisation in digital technologies and applications, the financial contribution shall pursue the following operational objectives:

- (a) support the design and delivery of high-quality, long-term training and courses, including blended learning, for students and for the workforce;
- (b) support the design and delivery of high-quality, short-term training and courses for the workforce, in particular in SMEs and in the public sector;

⁽²⁾ Directive (EU) 2016/1148 of the European Parliament and of the Council of 6 July 2016 concerning measures for a high common level of security of network and information systems across the Union (OJ L 194, 19.7.2016, p. 1).

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- (c) support high-quality on-the-job training and work placements for students, including traineeships, and the workforce, in particular in SMEs and in the public sector.

2. The actions under Specific Objective 4 shall be implemented primarily through direct management.

Article 8

Specific Objective 5 – Deployment and Best Use of Digital Capacities and Interoperability

1. The financial contribution from the Union under Specific Objective 5 – Deployment and Best Use of Digital Capacities and Interoperability shall pursue the following operational objectives while bridging the digital divide:

- (a) support the public sector and areas of public interest, such as health and care, education, judiciary, customs, transport, mobility, energy, environment, cultural and creative sectors, including relevant businesses established within the Union, to effectively deploy and access state-of-the-art digital technologies, such as HPC, AI and cybersecurity;
- (b) deploy, operate and maintain trans-European interoperable state-of-the-art digital service infrastructures across the Union, including related services, in complementarity with national and regional actions;
- (c) support the integration and use of trans-European digital service infrastructures and of agreed European digital standards in the public sector and in areas of public interest to facilitate cost-efficient implementation and interoperability;
- (d) facilitate the development, update and use of solutions and frameworks by public administrations, businesses and citizens, including of open-source solutions and the re-use of interoperability solutions and frameworks;
- (e) offer the public sector and the Union industry, in particular SMEs, easy access to testing and piloting of digital technologies and increase the use thereof, including their cross-border use;
- (f) support the uptake by the public sector and the Union industry, in particular SMEs and start-ups, of advanced digital and related technologies, including in particular HPC, AI, cybersecurity, other leading edge and future technologies, such as distributed ledger technologies (e.g. blockchain);
- (g) support the design, testing, implementation, and deployment and maintenance of interoperable digital solutions, including digital government solutions, for public services at Union level which are delivered through a data-driven reusable solutions platform aiming to foster innovation and establish common frameworks in order to unleash the full potential of the public administrations' services for citizens and businesses;

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- (h) ensure the continuous capacity at Union level to lead digital development, in addition to observing, analysing and adapting to fast-evolving digital trends, and share and mainstream best practices;
- (i) support cooperation towards achieving a European ecosystem for trusted data sharing and digital infrastructures using, inter alia, services and applications based on distributed ledger technologies (e.g. blockchain), including support for interoperability and standardisation and by fostering the deployment of Union cross-border applications based on security and privacy by design, while complying with consumer and data protection legislation;
- (j) build up and strengthen the European Digital Innovation Hubs and their network.

2. The actions under Specific Objective 5 shall be implemented primarily through direct management.

▼M1*Article 8a***Specific Objective 6 – Semiconductors**

The financial contribution from the Union under Specific Objective 6 – Semiconductors shall pursue the objectives laid down in Article 4(2), points (a) to (d), of Regulation (EU) 2023/1781 of the European Parliament and of the Council ⁽³⁾.

▼B*Article 9***Budget****▼M1**

1. The financial envelope for the implementation of the Programme for the period from 1 January 2021 to 31 December 2027 shall be EUR 8 168 000 000 in current prices.
2. The indicative distribution of the amount referred to in paragraph 1 shall be:
 - (a) EUR 2 019 914 000 for Specific Objective 1 – High Performance Computing;
 - (b) EUR 1 663 956 000 for Specific Objective 2 – Artificial Intelligence;
 - (c) EUR 1 399 566 000 for Specific Objective 3 – Cybersecurity and Trust;
 - (d) EUR 507 347 000 for Specific Objective 4 – Advanced Digital Skills;
 - (e) EUR 1 002 217 000 for Specific Objective 5 – Deployment and Best Use of Digital Capacities and Interoperability;
 - (f) EUR 1 575 000 000 for Specific Objective 6 – Semiconductors.

⁽³⁾ Regulation (EU) 2023/1781 of the European Parliament and of the Council of 13 September 2023 establishing a framework of measures for strengthening Europe's semiconductor ecosystem and amending Regulation (EU) 2021/694 (Chips Act) OJ L 229, 18.9.2023, p. 1